I don't know if I had a stop in place to cash me out, and I'm unwilling to dig up my confirmation records to check. However, it's close enough to the 12.56 trendline that yes, I probably did use a stop to exit.

So the entry was late but justifiable, and the exit was perfect. I don't have a lesson to share. I traded this well and kept the loss small.

XL Group

In September 2009, XL Group (XL) started forming a right-angled and ascending broadening pattern. It was a long one, lasting until June 2010. The stock made a partial rise, but that failed to see price break out downward. That didn't bother me because I trade from the bullish side.

I hid in the bushes and waited for the upward breakout. The breakout happened on 15 September 2010, just over a year after the pattern began. I bought 5 days later and received a fill at the market open of 20.99. The breakout price was 20.28 (the opening price the day after the breakout), so I bought near the optimum entry price.

What was my stop price? None. Why? Because this was a long-term holding. I noted that the downside was 15.66, the bottom (start) of the broadening pattern. If the stock dropped that far, it would hand me a (potential) loss of 25% (however, the lowest the stock dropped was 17.69, about a year after I bought). The potential loss was well above the usual 8% or less I like to see, but this wasn't a trade, but an investment. I made allowances.

Upside targets were 28, 56, and 69. I also made mention in my trading notebook about this stock breaking out of congestion. It was a small knot, about a week long of sideways price movement. I seemed excited about that for some reason.

Indicators? Sure. Why not? Wilder RSI was overbought. Commodity channel index said sell 5 days ago (the day price broke out upward, which was a bad call). Bollinger bands were following volatility higher. It suggested waiting for a throwback that didn't happen (and a missing throwback suggests better performance, of course, from Table 9.4).

My computer informed me that volume was not rising consistently over the past 3 weeks, and warned of a higher failure rate for the trade because of it.